

Obviously, he would have done better if he had sold closer to the high at G, but who can tell that would be the high? Overhead resistance set up by prior peaks *did* suggest tough sledding until it pushed through to new highs. One warning sign was there.

After he sold, the stock dropped, confirming his decision to sell as the correct one. This trade *did* turn into a single busted pattern, but one that didn't come anywhere near the average rise of 84% for single busted trades.